

Pinebrook Advisory Group LLC

www.pinebrookadvisory.com

February 7, 2020

Cynthia Foley
VP Finance
Dean PLC

Dear Ms. Foley:

This letter confirms that Dean PLC has engaged this firm to carry out a pricing study, and it records what we will do, who will do it, what it costs, and the terms we both work under. I will put our view at the top rather than at the end. What you described to me is not one pricing problem but three, because the price you publish, the discount your sales organization actually grants, and the margin an account finally delivers are separate questions that your reporting today answers as though they were a single number, and until those three are pulled apart no pricing decision you make can be defended to anyone who asks how you arrived at it.

Scope and Approach

The study covers your commercial product families and the accounts that buy them. We work from transaction records rather than from the price list, because the price list describes what you intended to charge and the invoices describe what you were paid. We will build a clean transaction data set covering the trailing two years, reconcile it to your reported revenue so that neither of us has to argue about the denominator later, and use it to measure realized price and contribution margin by product family, by account, and by region.

From that base we do three things. We locate where discretionary discounting concentrates and establish what it costs you; we test the sensitivity of your volumes to price as far as the record honestly allows, which is further in some product families than in others; and we recommend a price and discount structure your organization can actually administer. Alongside the analysis we will interview your commercial leaders and a sample of your sales representatives, because the reason a discount was granted is never written on the invoice and is usually the part that decides what to do about it.

You will receive a written report carrying our findings and our recommendation, an exhibit pack holding the underlying analysis in a form your own team can rerun after

we have gone, and a working session with your leadership at which we expect the recommendation to be taken apart before it is adopted. We will not hand you a model nobody at your company can maintain, and we will not recommend a structure your systems cannot execute, however elegant it looks on paper.

The Team

Robert Miller, Principal Consultant, will lead the engagement and is your day-to-day contact for anything of substance. Jennifer Fletcher, Senior Consultant, carries our pricing work and will own the analysis and the shape of the recommendation; she will tell you early and plainly if what you have asked for is not what you need, which is the most valuable thing anyone on this engagement can do for you. Susan Wiley, Analyst, will build the transaction data set and keep the assumption log that sits behind every exhibit we show you. I read everything that leaves this firm and I will be in the room at the closing session; the signature at the foot of this letter is the whole of our review process and I treat it accordingly.

Fee and Timing

Our fee for the study is \$89,500, fixed for the scope described above, and it covers all professional time, the exhibit pack, and the closing session. We are ready to begin on February 17, 2020, and the work runs about eight months end to end, a pace set less by our analysis than by the interviews and data extracts we will need from your people, which is the part of the calendar you control rather than we do.

Fees and Payment

We bill monthly in arrears against work performed, and our invoices are payable within thirty days of receipt. Reasonable out-of-pocket costs, principally travel to your locations, are billed at cost and will not exceed a modest fraction of the fee without your written approval. If you ask us to take on work outside the scope set out above, we will say so before we start it, agree the additional fee with you in writing, and record it as an amendment to this letter rather than let it reach you as a surprise on an invoice.

Term and Termination

The engagement runs for the term described above unless we agree otherwise in writing, and either of us may end it on fifteen days' written notice to the other. If you end it, you owe the fees earned and the approved costs incurred to that date and nothing beyond them. If we end it, which we would do only if the work as agreed had become work we could not do honestly, we will return any portion of the fee paid for work not performed and hand over the analysis as it stands.

Confidentiality

Pricing is the most sensitive number a company holds, and we treat it that way. We will hold your transaction records, your commercial plans, and the fact and content of this engagement in confidence, use them only for the work you have retained us for, and share them no further than the people on both sides who need them to do that work. Our people are bound by the same obligation as a condition of employment. We ask the same of you in respect of our methods and our materials, and we will return or destroy your data at the close of the engagement on your instruction.

Limitation of Liability

We will perform this engagement with the care and skill customary in our profession, and we will tell you what the evidence supports rather than what is comfortable. We do not control how your customers respond to a price, and we therefore do not warrant a particular commercial outcome. Our total liability arising out of this engagement, on any theory, is limited to the fees actually paid to us under it, and neither of us is liable to the other for indirect or consequential loss. Nothing here limits liability for fraud or willful misconduct, and nothing should.

Governing Law

This letter is the entire agreement between us on this engagement and supersedes anything discussed or drafted before it. It is governed by the law of the state in which this firm maintains its principal office, and any dispute we cannot settle between ourselves will be heard by the courts sitting in that state, to whose jurisdiction we each consent. Amendments take effect only in writing signed by both of us.

Acceptance

If this letter reflects our understanding, please sign below and return one copy to me. Robert Miller will be in touch within the week to fix the kickoff and to agree the first data requests, and he will keep those requests short, because a study that opens by asking for everything a company has usually ends by using very little of it. We are glad to be doing this work for you.

Very truly yours,

Daniel Jones

Managing Partner

Date: February 7, 2020

Cynthia Foley

VP Finance, Dean PLC

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